

**LABOUR IS HOLY BUT BUSINESS IS DANGEROUS:
ENTERPRISE VALUES FROM THE CHURCH FATHERS
TO THE REFORMATION**

SARAH DRAKOPOULOU DODD

*Athens Laboratory of Business Administration and
Aberdeen Business School
The Robert Gordon University
UK*

and

GEORGE GOTSIS

*Department of the History and Philosophy of Science
University of Athens
Greece*

This paper seeks to explore the religious valuation of entrepreneurship during a long period of Western cultural history that covers transformations of religious thinking from the early Church Fathers to the Reformation. The paper focuses on theological contributions to conceptualizations of labour, property and wealth, that serves as a basis for assessing entrepreneurial motives and enterprise activities. In doing so, this approach highlights the interactions between work motivation and entrepreneurship in distinct cultural and historical contexts. Particular attention is devoted to understanding the religious sanctification of labour. The emergence and formation of secular enterprise values are discussed and interpreted as integral parts of these religious worldviews in which they were deeply embedded.

INTRODUCTION

Perrotta (2003) has argued that, as well as a hostility to personal enrichment, new knowledge and technological innovation were also perceived as highly threatening to established orders in the ancient world. He cites in support of this argument myths such as that of Prometheus (punished for bringing fire to man, as much as for transgressing hospitality rules), and

the expulsion from the Garden of Eden (where it is, indeed, the tree of knowledge which is forbidden). The entrepreneur – and especially the innovative, individualistic entrepreneur – was thus a contested archetype from ancient times. He challenges the status quo, brings disruptive change, sees things in a way others cannot, and pursues his venture vision at the expense of other goals.

From an entirely different point of view, the eminent sociologist Richard Sennett sets out to explore the way new economic realities and institutions shape core individual and social values. After assessing the dominant view that the flexible global corporation provides a new model for individual autonomy and freedom, Sennett (2006) explains that this market model negatively affects individual and social identities. The rationale behind such a statement lies in new conceptions of entrepreneurship that dramatically enhance a work ethic based on contemporary unstable and fragmentary market structures. For this line of argument, new perceptions of an ideal self, oriented to short-term outcomes, seem to flourish in a market culture that focuses on potential discrediting of past experience rather, than on self-accomplishment and fulfillment. These transformations of the market and organizational culture raise new ethical dilemmas relevant to the construction of social selves, as well as issues of meaning frequently embedded in comprehensive worldviews, or distinct cultural and religious traditions.

The aim of this essay is to contribute to a long-standing, if often rather subdued, examination of the relationship between religion and enterprise. As the discipline develops, there is a clear need for us to begin the process of developing a history of entrepreneurship thought. For the Ancient and Medieval world, this cannot be done without understanding the dominant cognitive framework within which thinking about enterprise took place: theology. One important element in such an undertaking is to engage with the earliest traditions of Christianity, and try to ascertain what these works have to say about values associated with enterprise.

The essay studies the dynamic “enterprise values” of the organized Church from the time of the Church Fathers, up to the Reformation. Developments in the very early Church have been well-covered elsewhere, especially with relation to matters economic (Gotsis and Drakopoulou Dodd, 2000, 2002, 2004), but also with regard specifically to entrepreneurship (Gotsis and Drakopoulou Dodd, 2007). Post-reformation “enterprise theology” has also been fairly widely studied, not least in the groundbreaking but still influential work of Max Weber. Evidently, Weber was ardent that Protestantism proved effective in mediating, permeating and

stimulating the rise of modern capitalism and the emergence of bureaucratic organization in secular, administrative and entrepreneurial settings. Weber argued that the Protestant work ethic, placing an emphasis on individualism, personal achievement, self-reliance and rational mode of living, was facilitating capital accumulation, thus encouraging entrepreneurial initiatives. In the puritan theological ethics, the individual was primarily viewed as an autonomous and free subject seeking material wealth and success in this world as an evidence for being one of the elect members in the afterlife. The cultural norms, shared beliefs and values of the Calvinist communities in particular, were substantiated in an ethic of hard work, thrift, and network-making, in a way that these cultural factors were properly motivating believers and predisposing community members towards entrepreneurship. Social environments that challenged both established religious monopolies and the hierarchical relations of collectivist cultures were in a position to reward meritocracy and self-made success, thus favouring entrepreneurial activities. The Protestant ethic is primarily conceived as a set of moral beliefs in the intrinsic benefits of hard work, economic acquisition and individual entrepreneurial initiative, exemplified in individual attitudes and stances that were thought to generate those cultural conditions effectively conducive to market economies, modern enterprise and economic growth (cf. Norris and Inglehart, 2004: 159-179). If entrepreneurship was ultimately raised to a vocation, to a call from God, this was possibly due, among others, to belief-structures that encouraged commercially oriented innovation, as well as trust and reciprocities between fellow believers. Weber's social theory, in this respect, may be considered as providing a theoretical context of explaining emerging entrepreneurial activities in Western Europe (cf. Thomas and Mueller, 2000), albeit his theoretical formulations were by no means confined to the study of entrepreneurship (cf. Brouwer, 2002). The significance of certain kinds of Protestantism on the development of morally acceptable entrepreneurship is then well-rehearsed (Bellu and Fiume, 2004:192; McLelland, Weber).

There is also a growing body of work examining contemporary links between religion – notably Christianity - and enterprise (Anderson *et al*, 2000, Bellu and Fiume 2004, Carswell and Rolland, 2004, Drakopoulou Dodd and Seaman, 1998, Frank and Collinwood, 2001, Galbraith *et al*, 1997, Hanson, 1999, Longenecker *et al*, 2004, Seymour, 2004, Tinker 2004, Vinten, 2000). These theoretical and empirical contributions address different issues, those related to the role of individual motivation and religious commitment in entrepreneurial decision-making: accordingly, they

seem to apply to another level of analysis of the interactions between entrepreneurship and religion. In such a context, ethical decisions are depending upon the *salience* of religious belief that does not postulate a pre-existing and all-encompassing societal ethic. Religious capital, in this respect, enhances entrepreneurs' skills in framing issues, opting for ethical courses of action, building networks based on trustworthiness, reliability and reputation, and encouraging or securing cooperation. If, however, we still choose to remain aligned with the Weberian perspective, how could we enrich our theoretical argumentation? One possible way is to identify a clear gap in the current literature that eventually exists in its coverage of the period between proto-Christianity, and the Reformation. It is to this period that we address ourselves. To the degree that religious beliefs shape the aspirations and commitments of their followers, and affect their behaviour in complex organizational environments, modern approaches to improve performance and relationships within organizations could significantly benefit from understanding such religious and spiritual perspectives¹.

Modern definitions and frameworks of enterprise are social constructions specific to their temporal, spatial and community settings. Indeed, it is possible to argue that the heroic stereotype of the self-sufficient, creative, individualist, value-producing entrepreneur is only possible within post-industrial, atomistic, economically-driven Western societies. Thus it may be somewhat anachronistic to even consider the process of identifying and analyzing "enterprise values" in very old historical settings. That said, since the earliest days of human philosophical enquiry, thinkers have tackled questions related to wealth creation and its use, labour, self-responsibility, relationships between family and economic activity, the pursuit of profit-bearing opportunities, price-setting, and the raising, accumulation, and use of capital. Karayiannis's series of studies into the enterprise thought of the Ancient Greeks is a good example of such work. Anderson *et al*, (2000) developed an *ideal type* of enterprise values for their study of religion and the Thatcherite enterprise culture², and we will follow them in loosely gathering together a set of related topics, as outlined above. Conceivably, we focus on these underlying cultural aspects of entrepreneurial activities, the latter being constrained by other societal factors that we are going to analyse in a given historical setting considered as critical for the rise of entrepreneurship in its contemporary, global form.

The essay begins by presenting the work of the Church Fathers, embedded into the history of the Roman Empire, and especially the establishment of the Christian Church as the state religion of the Eastern Em-

pire by Constantine. Methodologically, the essay is essentially a review of primary and secondary bibliographic materials, supported by subsequent abstract deductive analysis.

THE CHURCH FATHERS

The very early Church communities, both in Palestine, and in the Hellenistic Pauline Diaspora, tended to draw their members from amongst the less privileged. Thus the way was clear for sustaining the antagonism towards wealth of the earliest Church leaders, including Jesus and James. The Jesus Movement in rural Palestine exhibited considerable hostility to the pursuit of wealth, and that this stance became more pronounced still for the Jerusalem Love Community, who also rejected individual property holding, entrepreneurial risk-taking, and even labour itself (cf. Esler 2000). Paul began the process of mitigating the strength of this theology (Meeks, 1983, 1986), and it was the Pauline School which introduced both a strong work ethic, and the importance of self-sufficiency, to Christianity (Gotsis and Drakopoulou Dodd, 2000, 2002, 2004, 2007). With the turn of the second century, more wealthy people joined the church, and a way of dealing with their prosperity needed to be found. Most of the Church Fathers continued the Jerusalem Community's opposition to the pursuit and retention of wealth, as Martin Hengel (1974) has noted:

"This idea that private property is a root of human dissention goes through the social admonitions of the fathers like a scarlet thread. The struggle for individual possessions destroys the original good order of the world, as all had an equal share in God's gifts".

Karayiannis and Drakopoulou Dodd (1998:168) have demonstrated that this condemnation of private property relates back to Old Testament writings, to the effect that the Land is held in covenant from God, for the nation entire (cf. Fager, 1993, Flanders *et al*, 1988). Also of clear Old and New Testament origin are injunctions to care for the poor, and protect the weak (cf. Georgi, 1992). The Church Fathers' opposition to the pursuit of wealth is also very pronounced: "John Chrysostom (*Homilies on Genesis*, 295D; vol 47, 380B) considers the everlasting desire to accumulate goods, in excess of what is needed for self-support, to be the source of all human evils" (1998:171)

However, a partial exception can be found in the influential work of Clement of Alexandria. In "The Rich Man's Salvation" he proposed that the rich could join the Church provided that they used their wealth to assist

the poor. According to his view, Christ “could not possibly have intended that the rich give up all their possessions, for, if they did, they would no longer be able to accomplish the good that can only be accomplished by those who have many resources at their disposal” (Ramsay, 1991). In Clement’s thought the affluent were not sinful because of their riches, as precisely poverty could not be elevated to a virtue in itself. In this conditional justification of wealth, Clement evidently envisioned a state of moderate prosperity in which one possesses enough goods both to meet his own needs and to effectively help the poor: poverty can be morally assessed positively only as a matter of *choice* for the sake of eternal life, not inheritance (Newhauser, 2000:10-12). As almsgiving compensates for sin, the wealthy would largely benefit from generously exerting this practice, while the recipients of alms could reciprocate the gift by offering their prayers for the giver. In this respect, Clement’s position, not entirely shared by the later Fathers, was encouraging for the entrepreneurial aspects of economic life, as Christians were allowed to participate in the process of accumulating capital (Gordon, 1989:85). However, the strictures remained firmly in place that these rich Christians should not become attached to wealth for its own sake, and should live modestly (Countryman, 1980). Clement makes still more extensive the views on wealth of the Pauline school.

Clement’s compromise was never accepted by the whole Church, with a variety of orthodox and non-orthodox ascetics – such as the Pelagians, the Eustathians, and the founders of monastic movements – preferring to preach the giving away of all wealth as a precursor to a life of poverty. Here, the tension, observable from the Ancient Greeks, the Old Testament and the New Testament continues between the spiritual purity of ascetic poverty, and the acceptance that material comfort and development also have much to offer mankind.

On work, however, the Church Fathers retained an essentially Pauline view, arguing that labour increases production and reduces injustice and sinfulness (John Chrysostom, discussed in Karayiannis and Drakopoulou Dodd, 1998:173), provides for physical exercise and generates funds for charity, given that the superfluity of riches and temporal prosperity can be morally justified through generous alms (eg. Basil, *Hom. in div. 1*, PG 31:281). We also find here the first strong presentiment of Luther’s *beruf*, when John Chrysostom writes that “work permits man to echo the creativity of God, by joining in the act of shaping the created world and its resources” (*op cit*, 174). This is a highly entrepreneurial motif: the joy of creating, which Schumpeter (1934) was later to eulogize as a key entre-

preneurial motivation. Whilst all this group of theologians (and bishops) continue to condemn retail trade for its endemic sharp practices, Basil follows his (pagan) teacher Libanius in explaining that the wholesale sea trade allows the redistribution of goods to areas of need: accordingly, Basil (*Hexaemeron* 3, 36) argues that local surplus could be redistributed to other places being in short supply of such goods, in conformity to the dictates of demand (Karayiannis and Dodd, 1998:178). How very different is this (Kirznerian!) support for the entrepreneurial re-allocation of resources from James' attacks on even the most rudimentary business planning: indeed this very critical stance to business activities was an integral part of the social ethics embodied in the epistle of James (Gotsis and Dodd, 2004). James the Just, a leader of the early Jerusalem church, the brother of Jesus (cf. Johnson, 2004) was placing an emphasis on the precarious nature of accumulated wealth, by reminding his audience of the very *uncertainty* and failure of expectations that are inextricable parts of any commercial endeavour and of the world of trade (Gordon, 1989:60).

Linked to this rather more positive view of labour, was an emphasis on self-sufficiency ("autarky"), which builds still further on Pauline foundations³. Here, autarky has moved beyond its conception as justifying labour and production, to extend its reach to consumption, also. Underlying this principle is the deep belief that the market structures represent no more than "a matter of ill-defined and unsupported community caprice, open to change at will, and therefore not worthy of trust" (Mitchell, 2004:108). The 'culture of the market' is negatively assessed, and this pre-conception prevails in the economic rhetoric of this era. Man is seen to be in a balanced state of autarky when he consumes only that which is necessary, a principle which Karayiannis and Drakopoulou Dodd (1998) associate with the influence of the Hellenic Stoic school. Note the difference here from the Jesus Movement, where asceticism was explicitly flouted on the numerous occasions when the group engaged in extravagant feasting.

Indeed, a significant development in this period was the return to Ancient Greek writings to supplement the biblical canon, most especially amongst the Eastern Fathers in the third, fourth and fifth centuries AD., many of whom had received a Greek education. This is also evident in the language used by many of them to condemn usury, based on an Aristotelian conception of the sterility of money (op cit p 182, citing Gregory of Nyssa, Basil, John Chrysostom, and Gregory Nazianzus). It also explains some of their developments in the area of enterprise values; a recognition of the creative aspect of work, the positive benefits of redistribution of resources to areas of needs, and a Stoic emphasis on ascetic autarky.

THE CONSTANTINIAN TURNING POINT

In 312 Constantine won the battle of Milvian Bridge, becoming Emperor of Rome, and subsequently founding Constantinople as the capital of what was to become the Eastern Roman Empire. He developed a new relationship between state and Church, claiming that divine intervention had assisted his victory. (Sceptics maintain that a shrewd political assessment of the growing importance of the new sect was a more plausible rationale.) At the same time, it was becoming increasingly clear that the Parousia (second coming of Christ) was not imminent, and a new way forward for the church needed to be found, allowing it to live within the world, rather than focusing so exclusively on other-worldliness.

Under Constantine, the Christian Church became the accepted faith of the whole Roman Empire, and this in turn had a number of relevant effects. By becoming a state cult, the church was now so close to the seats of power and wealth that its clerics and leaders became somewhat distanced from everyday life⁴. Church leaders became the managers of substantial charitable funds, and the Church developed extensive land-holdings. This separated the clergy from the laity – and especially the poor laity – for the first time, and created a vacuum into which the first monastic religious orders moved, taking on the task of spiritual and emotional supporters of the people.

Constantine created a clerical hierarchy which mirrored that of the secular authorities, and gave new powers to the clerical church. The concept of Christendom, the unity of Church and State which prevailed until the late Middle Ages, and afforded so much influence to the church, stems from Constantine and his explicit and formal creation of the Church state. It is also from this point that the doctrine of divine election, of the God-given authority of earthly powers, becomes an important way of legitimating the state government, and – eventually – the entire status quo.

For the first time, then, the church hierarchies were endowed with both power and wealth, with predictable consequences on their lifestyles. However, a degree of syncretism with Stoicism, then the dominant Roman philosophy, with its simple principles and emphasis on individual moral responsibility, compensated for this effect (Mircgeler, 1968). The influence of Stoicism is usually held to be the main root cause of the rising importance of ‘rational’ concepts like self-responsibility, personal control and the moral duty to behave modestly, themes which had earlier been promulgated by Paul⁵. It would be later articulations and developments of these

themes which would re-appear in the Protestant Work Ethic which legitimated and stimulated entrepreneurship in, for example, Puritan England.

The identification of Church and State grew to such an extent that when the Christians were blamed for the Goth's sack of Rome, the Carthaginian Aurelius Augustinus (340-420) felt called upon to write his classic apologetic for Christianity, *De Civitate Dei*, or the "City of God". This anti-utopian work, which differentiates between the Heavenly City of God, and the material earthly city was to have a pronounced influence on the medieval Schoolmen, and has even been cited frequently by modern 'Enterprise Theologians' as evidence against attempts to improve conditions for the poor (Opitz, 1970:193, Griffiths, 1984:62; Novak, 1982:126). Yet Augustine was as aware of the dangers of wealth and its pursuit as the earlier church fathers; one of the most celebrated depictions of the poor Christ is given to us by Augustine (Ramsay, 1991:263).

Gordon (1986:63) summarizes Augustine's ambivalent position on wealth and business thus:

"Augustine rejects the ideas that it is impossible for a rich man to gain salvation, and that disinvestments is a necessary condition of Christian living. In addition, he is prepared (in contrast with some of the earlier Fathers) to sanction the activities of merchants, and he relates the profits of merchants to compensation for expenditure of labour" (1986:63).

AFTER THE COLLAPSE OF ROME

The Western Roman Empire was short-lived, and broke up into a collection of ever-changing states. Yet although its supporting secular power had fallen, the Church of Rome steadily increased its power and authority. "The collapse was a long and complicated business, but in the West it was completed by the end of the Seventh Century. It was then that the work of re-building began. The dominating ideal in the rebuilding was that the unitary authority of the Empire should be replaced by the unitary authority of the Papacy" (Southern, 1976).

As the Roman Empire fall apart, the new secular kings also made great use of the Church's authority in their exercising of power. "For about three centuries, from about 750 to 1050, the kings...exercised an authority which gave them a sacred character" (Southern, 1976). This legitimization of power through sacramentalism was evidenced by the place of religious ritual in the making of kings, and in their continued governance. The place of ritual and the supernatural in the metaphysics of the early Middle Ages

was significant, and de-emphasised the role and importance of the individual lay person, whose scope for independent thought, creativity and socio-economic advancement was highly circumscribed thereby.

The German tribes had destroyed the Roman Empire's careful business system, which incorporated minted money, standardized weights and measures, and laws concerning private property – all economic institutions which facilitate risk assessment, calculation of value, and more practical aspects of entrepreneurial exchange⁶. Instead, an economy based on booty, gift and limited local barter was practiced⁷. The patron-client Roman socio-economic system had also depended heavily on gifts, of course, but a wider-reaching and more organized trade system had also flourished.

As the monks began the work of christianizing the Germanic states, in the seventh and eight centuries, they “campaigned against pagan practices, notably the burying of wealth with the dead” (Little, 1978). This wealth was instead stored as treasure in monasteries:

“The influence of the Christian clergy in discouraging this practice coincided with the new appreciation of precious metal as specie, the beginnings of a commercial revival, and the enhanced prestige of monastic sanctuaries. A clear step from the gift economy to the profit economy had been taken (Little, 1978).

Some agricultural ventures also began to produce a surplus in the tenth century, which was sold for profit. Because of their high level of organization, the monasteries again led the way in this activity⁸. By the twelfth century, the monasteries had been given such huge and far-flung tracts of land, that the financial management of their estates necessitated transactions based on money, rather than goods, for rent and tribute payments. This shift to a money-based system also occurred early in the monasteries, and their pioneering innovations in these two areas come close to what would today be called enterprise.

The crusades, ostensibly mounted for religious reasons, also facilitated the growth and profitability of the Mediterranean ports. Indeed, the appearance of the first silver shilling in Venice in 1202 is likely to have been stimulated by the payment of a huge sum of money in silver the previous year to the Venetians by the knights of the fourth crusade when they gathered there.

The increasingly rapid urbanization and trade, together with the beginnings of industry, led to a need for a bureaucratic system of government. The papal bureaucracy formed the model for other states⁹. Because bureaucracy was carried out in Latin, in which only the clergy tended to be fluent, they also become clerks in the state systems. Equally, given the extent of the Papal bureaucracy, experts in law, finance and management

were largely clerical. Southern has stated that the clerics had a monopoly over these key disciplines which “not only determined the theoretical structure of society but provided the instrument of government” (1976:38).

The importance of the church as a direct influence in the Middle Ages cannot be overstated. Of special interest to our argument is her role in providing the stimulus to retain wealth, rather than burying it, in the economic activity and income generated by the crusades, by providing the first systematically organized and routinely profit-creating agricultural concerns, and by functioning as a model and source of labour for the growing bureaucracies.

Yet this period also gave rise to significant metaphysical and theological turbulence. Before urbanization, the rural monastery had formed the model of a self-supporting, other-worldly religious community, which entered the life of its lay members for ceremonial events, and which preached a gospel of simple modest living. It was strongly opposed to wealth creation. A spiritual vacuum was therefore created for the new economically active town dwellers, whose life no longer matched the old models (Little, 1978:19).

Although the church was itself instrumental in the creation of this new wave of economic activity, as we have seen, it was by no means ready to grant such activities its blessing. Little explains that Canon Law and contemporary theology stated that buying and selling led people into sin. For example, Honorius of Autun, in the early twelfth century, wrote that merchants had little hope of achieving salvation, “since virtually everything they have they get by fraud, lies and selfish desire for gain”. This is contrasted with the simple life of the farmer, whose work feeds the people of God (Honorius of Autun, in Lefevre, ed, 1954: 428 – 429). Money lending in particular came in for great moral criticism. However, moral condemnation could not suppress the practice, since the increase in economic activity led to a parallel increase in the demand for capital to fund business ventures, as well as an increasing supply of financial surpluses available for such a purpose. An indication of this resurgence in theological opprobrium for the pursuit of wealth – typically characterized as greed, or avarice – can be seen in changes in Church art and literature¹⁰. In the early Middle Ages, pride was here portrayed as the greatest threat to salvation. By the eleventh and twelfth centuries, avarice was at least as important a vice, as studies of church architecture and allegories have shown (Little, 1978: 36-37).

Newhauser (2000:126-127) emphatically observes that:

"In the midst of the theoretical justification of commerce as a necessity and useful activity, the distrust of merchants as agents of avarice, inherited from Late Antiquity, could not be wholly suppressed. In other words, those who were in a position to reap the benefits of the growing use of currency in what has been called the 'commercial revolution' or the incipient 'money economy' were still marked as marginal to the mainstream culture of northern Europe".

Unsurprisingly, the ongoing transition to a profit economy and the pursuit of commercial activities, was conceived by early medieval moralists "as a disturbance in the ethical continuum by which avarice was often perceived as the dominant vice" (Newhauser, 2000:126).

Since the mainstream church, whilst continuing to voice strong theological opposition to the new urban profit economy essentially participated in it, and even in some cases inspired it, it is hardly surprising that reformist groups and individuals began to appear, strongly rejecting the new importance of business and money lending. New reformist monastic communities were founded, in the spirit of the early eremitic movements described above, which had reacted against the early church's first accommodation with wealth and power. The Cistercians, Carthusians and Premonstratensians were all products of this movement, and built rural monasteries. However their disciplined life and community organization was ironically such as to frequently turn their monasteries into highly successful agri-businesses. In the towns, canons, friars, and lay people also founded and joined a range of movements which had as their initial purpose the maintenance of traditional church values (see, especially, Little, 1978:70-99). Of particular importance are the Dominican and Franciscan orders, which were founded upon a spiritual quest and voluntary poverty:

"What many of these had in common was a rejection of the new, specifically monetary materialism, particularly as found in ecclesiastical institutions" (Little, 1978:99).

By the eleventh century, education was no longer the sole preserve of the monasteries, but was also practiced by urban schools, usually Episcopal (Little, 1978:26). Students were trained in using dialectic and disputation to develop their capacities, to question and critically examine their world, rather than being encouraged to practice "reflection and elucidation of a given truth" (Little, 1978:26). Here we see a key stage in the development of western rationalism, which was later to give rise to so much of importance in the political, social and economic spheres.

THE SCHOLASTICS

The third generation of Friars moved in large numbers into the new universities of the twelfth century, and began the process of rational examination of the new social situation, combined with the spirituality of their orders. The re-discovery of Aristotle's corpus of work during this century, ironically via the Iberian Moors, gave a focus to the work of these scholastics. Between the twelfth and fourteenth centuries, in the light of continuing socio-economic change, each new generation of theologians built on the concessions of their predecessors to accede further to the demands of nascent capitalism for liberalization of Canon Law and ethical teaching. For instance, the Franciscan order underwent enormously rapid transformations as Franciscans gained access to the Episcopal office or to university chairs: such changes posited certain ethical dilemmas to those confronted with the duties of their new offices. As Davis (2005) has demonstrated, albeit some friar bishops refrained from involving themselves in their churches' finances, this was not the case with Eudes Rigaud, the first Franciscan archbishop of Rouen, who made significant investments in landed property. The bishop employed effective means of raising capital (such as leasing his seigneurial rights over certain towns), collected considerable income from rents and donations and acquired sufficient monetary resources to make investments for long term growth. To the extent, however, that these economic practices were morally perilous and even entered into conflict with religious commitments and obligations, a new rationalization of entrepreneurial activities was deemed necessary. In an economic reality in which substantial revenues should be at church's disposal to fulfill its charitable responsibilities toward the poor, Eudes would answer that, in managing the temporalities of his see, he was imitating the Gospel's injunction to faithful stewardship (Davis, 2005:448).

The most famous and respected of the scholastics was the Dominican Saint Thomas Aquinas (1220-1279). Whilst St Thomas is clearly suspicious of trade, money-lending and their effect, yet he begins the process of accommodation that would continue with Calvin and the English Puritans, showing "a distinct tendency to reconcile theological dogma with the existing conditions of human life" (Roll, 1954:45). In so doing, he extends considerably the moderate allowances towards trade, wealth and enterprise grudgingly acceded by the Church Fathers, trying to establish guidelines (for the confessors he instructed¹¹) to allow men to make the best of all life's imperfections, including wealth (Roll, 1954: 45). Schumpeter's detailed and scholarly study of St Thomas' work explains that whilst main-

taining that there was something base – *quondam turpitudinem* – about trade, St Thomas never the less allowed six justifications for it, which included the addition of value by improving the goods in question, the variances in a good's value created by time or geographic differences, and the taking of risk upon oneself: all solid entrepreneurial functions, familiar to us from modern theory (Schumpeter, 1982: 90-91; Aquinas, *Summa*, 1966 edition, II,2, LXXVII: 4). Albeit Aquinas followed Aristotle, he anticipated Adam Smith, by arguing that self-interest in the pursuit of property caused more strenuous exertions (Schumpeter, 1982:92). He nevertheless forcefully supported the ban on usury, since time is a gift from God alone, and cannot belong to man (Screpanti and Zamagni, 1993:18). Thomas Aquinas wrote that money was not an evil in itself, but rather a measure of the price of things. His work demonstrated how to make theologically and morally acceptable the life of a merchant who, much as the early rich Christians of the Roman Empire, was nonetheless expected to live a modest life, make charitable donations, and earn a modest profit to support his needs (Little, 1978:178-181).

One, indeed, of Aquinas justifications of business pursuits was based on the necessity for a moderate profit to provide for a merchant's household, by considering that the latter would be *maintaining* his economic status rather than improving it. Underlying this observation was the conviction that labour, not entrepreneurship, was the true source of economic profit. Late medieval condemnations of idleness helped to establish the idea of work not as a mere necessity, but as a duty: the origins of the later work ethic could be identified to the emphasis on hard work and diligence, and the praise of wealth attributed by the Renaissance Italian city-states. But, as Wood (2002:67) emphatically observes, "this is not, however, to suggest that labour acquired any particular dignity or that there was any sense of a medieval 'work ethic' ". Typical medieval principles and values could be applied to the redistribution of economic resources, to maintaining one's status and self-sufficiency, or to the expectations of credit in Heaven in return for a charitable investment. And she continues:

"But there was no sense of worldly asceticism or of the dignity of labour, nor, without the theological underpinnings of the Calvinist creed, could the merchant princes be sure that their wealth indicated their eternal salvation" (Wood 2002:53).

With a lifespan that was almost exactly a century later than St Thomas, Nicole Oresme (@1320 - @1380), the Bishop of Lisieux, provided such a strong defence of the tradesman, that his work must be seen as a radical jump from St Thomas':

“Marginal and suspect in the work of Saint Thomas, trade – merchant capitalism – is central to that of Oresme. The policy of the prince should be to encourage trade and arrange the conditions that do so” (Galbraith, 1987:28, Schumpeter, 1982:94-95, Roll, 1954:52).

A century after Oresme, Saint Antonino of Florence had moved on again in the process of accommodation, by making so many additions to the special cases under which a price, and hence profit, could be deemed just, that the whole concept of a just price was effectively undermined (Roll, 1954:47). Antonino disagreed with the Thomist and Aristoteleian position that money was not of itself productive, since capital in the form of money is needed before trade can be undertaken. That is, he believed that money has an additional value because it is a necessary pre-requisite of enterprise (Schumpeter, 1982:105). This is a significant step, in the recognition of the legitimacy of the lending of risk capital, and marks a clear break with earlier thought in the area.

Schumpeter credits these three key figures, and later Schoolmen, like Lessius and Molina, with the first theories of interest and profit. This is because they came, eventually, to the conclusion that risk and effort have a right to be rewarded financially, and that the opportunity cost of lending money legitimates the charging of interest (Schumpeter, 1982:101, Langholm, 1998:74-76, Woods, 2005:113-122). The influence that these ideas had over the duration of the Middle Ages was in part due to the Order of Friars extensive preaching to the urban laity, and the innovative use of (sometimes vernacular) tracts and texts to support this. New ideas, then, were combined with new media and tools for dissemination which spread the ideas widely throughout Europe. In the thirteenth and fourteenth centuries, outside the Universities there was a move away from rationalism toward evangelical enthusiasm and intuition. Southern writes that:

“The Friars had met all the main spiritual, social and intellectual needs that could be met by organised religious bodies, and they exhausted all the main sources of support. There was only one further step to be taken, and that was in the direction of greater freedom from social and hierarchical pressures and a greater diversity of individual effort” (1976:302).

LAY MOVEMENTS

The sermons of the Dominican Friar Eckhart, for example, promoted a theology of internal personal conversion for the laity, to be expressed as a simple, puritanical lifestyle within the secular world. Echoing elements of

Stoicism, this articulated the desire of the laity to no longer be viewed as a religious second class, of less value than members of the monastic orders, the clergy and the friars. Practical expressions of this new lay spirituality were manifold, and indicative examples are presented here to illustrate the theology and lifestyle espoused by the new lay organizations of the thirteenth century. Several of the lay movements are of particular relevance to this argument, since they extend the concept of godly labour into the modern economic situation. It should be remembered that the earliest Friars were mendicant, that is, they begged rather than worked, and rejected the concept of possessions, similarly to the Jerusalem Love Community¹². Some of the radical lay movements, such as the Waldesians and the Cathars, continued this rejection of property, material possessions and manual labour. By contrast, other lay movements were innovative in shaping their reaction to the dangers of materialism as a dedication to humble urban secular labour, as the following three examples show. For the first time religious movements embraced a part of the new economic realities as a sacred path to salvation. In sum, these religious communities were effective in performing handcrafts and works of devotion, even in pursuing purely merchant activities and religious motives were the primary reason for practicing their communal labour. In Grundmann's words,

"It was part of the heretics' apostolic ideal to live from the work of their own hands, without earning more than was needed to satisfy the basic needs of life. Weaving, the very craft which was the first to develop into an industry demanding labour in exchange for subsistence wages, was obviously the 'chosen profession'...this heretics' craft grew by the end of the twelfth century to become a true 'heretic industry' with its own enterprises...It became the occupation of choice in which they could most conveniently unite their religious activities with their economic needs" (Grundmann, 1995:15).

Some examples of these sects will help illustrate this point. The beguines were a lay sect of women, centred around Frankfurt, and first appearing in 1223, who dedicated their lives to simple labour, which might be hospital work, weaving or embroidery. The great bishop of Lincoln, Robert Grosseteste, a major apologist for the Franciscan way of life, nevertheless confessed that a higher form of poverty than begging existed: "living by one's own labour 'like the beguines'" (Southern, 1976:320). In these women's communities, Grundmann (1995:83) observes that: "(James of Vitry) saw many women among them who renounced their parents' wealth and rejected marriages with wealthy and prominent men in order to live in poverty by the work of their own hands, humble in food and clothing, dedicated

totally to their religious goals...it was not lack of wealth but rather the flight from riches which precipitated their decisions for voluntary poverty”.

Gerhard Groote was the founder of a small Dutch movement in the fourteenth century, which similarly preached a lay gospel of simple hard work as the road to salvation, and as the duty of the Christian man or woman. His teaching did not sanctify enterprise, however, but promoted the subsistence labour of the early church:

“don’t think however, that I wish men or women to be occupied in secular business or human entanglements – let them simply work on those things which bring a daily subsistence from hand to mouth without superfluity...Labour is holy but business is dangerous” (in Mulder, ed).

This aim was thwarted by the monopoly of the guilds, and Groote’s sects instead moved into the production of books and pamphlets, which was a trade not regulated by the guilds. This innovative move into new enterprises in the contemporary media sector “carried far and wide the forms of devotion practiced and developed by the brethren, and made these forms part of the general piety of Christendom” (Southern, 1976:350).

The Humiliati were a large sect of lay people to be found in Central and Northern Italy in the thirteenth century. Especially prevalent in the woolen trade, manual labour, simplicity and humility were their mainstays. The principle of work with their own hands was intended to secure their support besides begging or receiving alms as a distinct feature of Upper Italian poverty movement, and a papal amendment extended its application to other forms of itinerant preaching (Grundmann, 1995:54). Over time, their cloth, which bore the trademark of the Pascal Lamb, became highly prized, and “eventually, in the course of the thirteenth century, they became entrepreneurs and grew rich” (Little, 1978:119). Indeed, the emerging economic structures of the northern Italian city states seemed to play a central role in the process of the formation of this religious movement that was conducive to the establishment of “new, more restrictive standards for everyday living in the capitalist cities of Italy-standards that fully anticipated somber Puritanism and the Protestant ethic” (Stark, 2005:122). In sum, economic prosperity, the emergence of a monetary economy and the appearance of industrial enterprises represented deeper social changes reflected in the religious movements’ aspirations to implement the apostolic demands in the midst of a wider economic upheaval.

THE REFORMATION

The lay movements of the thirteenth and fourteenth centuries indicated an on-going malaise with the established church. This malaise continued to grow, and find expression in the writings of radical Church figures. Not least of these was Martin Luther:

“Many of those who looked for a purer spiritual life, freedom from the political control of the Pope, and a more profound, biblical and scholarly theology, found what they wanted in the words, actions and writings of German monk and professor of biblical studies, Martin Luther of Wittenburg” (Thomson, 1976).

Luther emphasized the personal aspect of the Christian’s relationship with God, and strongly believed in pre-determination. He was also concerned with extending the notion of duty, or calling, beyond the Monastic sphere, or that of the Lay Movements just presented, ascribing religious value to ascetic hard work in secular forms of labour also. This “idea of the obligation to live a religious life within the sphere of the secular...is one of the most momentous contributions which the Reformation made to social theory” [Fullerton, in Green (ed), 1959:9]. Perhaps not surprisingly, “the people who were chiefly attracted to the Reformation were the “New Men” of Europe: scholars, businessmen, despairing peasants” (Thomson, 1976). Luther himself, though, was an economic conservative, denouncing profit-seeking commerce in the most stringent terms (LW21, 183; WA51, 422:15, 423:2, see also Tawney, 1936:94).

Luther’s critical stance concerning the new challenges posited by the growth of a profit economy can be understood in the light of his primary theological reflections on justification by faith alone. In this respect, poverty was no more conceived as a form of spiritual capital for both rich and poor, but as a social evil to be combated by the implementation of social welfare policies designed to both prevent and alleviate poverty. Luther was highly critical of the expanding structures of a credit economy to the degree that these impersonal market forces were accounted for the perpetuation of poverty and the ongoing injustice which afflicted the economically destitute. Unsurprisingly, his perceptions of the innovative, calculative entrepreneur were entirely negative, given that businessmen were frequently striving to conceal their inner motivations and aspirations and employed practices that proved to be detrimental to the ethos of the community. The rationale behind Luther’s critical stance was that the early modern ‘enterprise values’ were socially justified by the religious exhortations for almsgiving: the market economies were unique in fostering a ‘perverse theory of charity’ which legitimised entrepreneurial claims to

profit and interest, but also allowed for accumulation of spiritual capital in the afterlife (Lindberg, 1993). Nevertheless, Luther adopted a moderate stance compared, for instance, with Zwingli: the latter was highly critical of financial transactions and entrepreneurial engagements when he asserted that, “to refuse to attack greed, usury, war, the mercenary system, monopolies and companies that harm the common good is to preach the Gospel of Christ crucified without the cross” (Stephens, 2004:94-95). Indeed, Luther was convinced that the spirit of the early capitalism was delineated by such an acquisitive drive that unequivocally necessitated exploitative economic practices (such as usury). This also explains his efforts to appeal to public authorities to proceed to a direct enactment of social legislation aiming at regulating entrepreneurial practices, or fostering a framework of social cohesion in response to them (Lindberg, 2003:171-174).

The same period witnessed the rising of radical reformist movements which were perceived as propagating and disseminating subversive ideas, that threatened the existing social and political structure. The radicals frequently envisioned an egalitarian and autonomous local community and came to articulate a set of practical values, principles and norms for living as evidenced in their respective declarations. In general, they supported the traditional view that the welfare of the community should take precedence over the seeking of individual advantage or benefit, but this view was invested with millenarian and apocalyptic connotations. Their attitudes to work, commerce, profit and crafts, and the ‘enterprise values’ they developed, were deeply rooted in their religious worldviews, as the following examples will clarify.

In his *Territorial Constitution for Tyrol*, Michael Gaismair elaborated a program that entered into conflict with any preferential treatment of noble groups at the expense of others. Gaismair envisioned the implementation of a publicly funded social welfare system in favour of the weaker members in society by proposing moderate reforms that did not entail the elimination of economic inequalities. In defending a principle of hard work, Gaismair formulated the core values of an economic ethics that covers distinct issues such as the remuneration of labour, the administration of productive resources, the organization of local markets, the level of just profits etc [Gaismair, 1526 in Baylor, 1991 (ed), 258-260].

Hans Hergot in his *On the New Transformation of Christian Life* articulated a set of principles animated by his republican political ideals and his religious beliefs. Hergot’s conception of a local community in terms of economic self-sufficiency and liberation from exploitative practices found

its culmination in the need for charitable assistance and social welfare policies oriented toward the well-being of the community. Once again, the principle of hard work provides the economic basis for the flourishing of crafts, and creates an enterprise culture in which longing for selfish gain could not prevail [Hergot, 1527, in Baylor, 1991 (ed), 212-213].

Equally importantly, *The Twelve Articles of the Upper Swabian Peasants* (27/02-1/03/1525) seek to offer a normative framework of the relationships between the German peasantry and powerful landowners. Rather than calling for the expropriation of noble property, this conciliatory program sets out to regulate, among others, a level of just wage for the labourers by establishing an equitable payment in return for one's services [art.7 and 8, in Baylor, 1991 (ed), 236].

The other key figure of the Reformation was Calvin, a jurist whose first work concerned the Stoic Seneca, and who continued to be heavily influenced by this ascetic philosophy. After fleeing to Switzerland from France, in 1536 Calvin was invited by the Genevans to work with them in developing a reformed city-state (Thomson, 1976:25). Geneva was a merchant society which was forced to accommodate and integrate a considerable number of French Protestant refugees: the latter were men with skills who represented a real threat to the economic position of the Genevans, but these immigrants were finally admitted as new citizens into a Calvinist community during Calvin's ministry (Naphy, 2000:316). Like Luther, the Beguines, and Grote's sect, Calvin found greater sanctity in work, than in begging or monasticism, and displayed a traditional revulsion towards the pursuit of wealth for its own sake (Troeltsch, in Green (ed), 1959:21). However, unlike Luther, Calvin dealt with the commercial operation of Geneva as an integral part of life, rather than as a necessary evil. He did not adhere to the traditional theories of money or usury, and was even responsible for bringing watch-making to the city as an initiative to bring work to the poor (Troeltsch, in Green (ed), 1959:22). Indeed, this was Calvin's second attempt at social enterprise, an earlier project involving the manufacture of curtains having failed due to competition from the Rhone. This vignette has always seemed to us indicative of the dangers of oversimplifying entrepreneurship thought – especially by focusing on, for example, the role of Calvin and Luther in promoting the individualism that is seen to underpin entrepreneurship¹³. The story shows one of the soi-disant heroes of bourgeoisie individualism indeed engaging in enterprise in its truest sense: innovative, technologically-advanced, intended to meet a clear gap in the market, and to create barriers to entry (which still have some power today, and were rock solid until the entry of the Japanese into

the global watch market in the 1970s). Nevertheless, this sophisticated and successful entrepreneurship took place at the level of job-creation through state enterprise, a highly communitarian act, based on the oldest of theologies, the injunction to care for the poor's material well-being. Calvin-as-social-entrepreneur was hence distant indeed from the knee-jerk moral and commercial individualism with which he is so glibly associated. The subsequent Puritan work ethic was based, partly on the discipline that the Reformed Churches emphasized for, and eventually imposed on, individual behaviour, and partly on the assumption that Puritans considered worldly success as a sign of salvific divine election, that is as a precondition for heavenly eternal life. On the contrary, Calvin did not consider poverty as inimical to this perspective when he wrote:

"It is an error which is by far too common among men, to look upon those who are oppressed with afflictions as condemned and reprobate (that is, damned)...Most men, making judgements about the favour of God from an uncertain and transitory state of prosperity, applaud the rich and those upon whom, as they say, fortune smiles; so, on the other hand, they insult contemptuously the wretched and miserable, and foolishly imagine that God hates them" (J. Calvin, *Commentary on the Psalms*, Psalm 41:1, quoted in Olson, 2004:169).

Calvin's reform was undoubtedly integral to the social reality for which it was originally designated, but the institutions introduced and the welfare program thus inaugurated would endure, substantiated in a social ethics that was not confined to the initial social setting from which it originated. Accordingly, there is no doubting the importance of his contribution to the mindset which was to provide the conceptual and religious bedrock for the subsequent development of capitalist enterprise cultures:

"Calvinism and capitalism have been allies because Calvinism was but the religion of the bourgeoisie created by the rise of capitalism. The virtues and vices characteristic of Calvinism and the virtues and vices natural to the middle class. Industry, thrift, prudence, economy, restraint of manner, domestic virtue, are necessary to success in an industrial society, they are the virtues chiefly emphasized by Calvinism" (Smith, 1962:327).

REFLECTIONS AND CONCLUSIONS

There is often an implicit assumption made that theological consideration of enterprise, within Christianity, begins with the work of the great Reformers, who mark a serious discontinuity with earlier religious conceptualisations. We have examined the work and writings of Calvin and Luther in the context of the previous 13 centuries of theological reflection on mat-

ters economic and entrepreneurial. This has made very plain that they form part of an on-going and fairly slow-paced development of religious understandings of enterprise values. Indeed, one of the key findings of this review is that important parts of Christian enterprise theology survived in the mainstream trend which was just barely accepting of enterprise, from Clement of Alexandria through the Scholastics to Calvin, and Luther. The aim of all the religious writers surveyed was to curtail and contain enterprise within acceptable bounds of Christian teaching; tight control of money lending, extensive donations to charity, God and neighbour as of more importance than self, labour as a humble duty and not as the sole route to salvation, and the Christian community as the locus of salvation via charity and humble service. Accordingly, the enterprise values promoted by these contributions to business ethics, were ultimately embedded in such religion-based worldviews, or authority-systems that reflected certain cultural preferences, shaped by the experiences and particularities of the early modern period.

In a new thought-world where neither renunciation nor acquisition were salvific *per se*, resources devoted to enhance the accumulation process of both material and spiritual capital should be reallocated to social networks created to serve the neighbour and the communal good. From the late Middle Ages, religious precepts sanctifying labour were enriched with a new content in the urban centers of Western Europe: this process found its culmination in the protestant work ethics substantiated in individuals and groups which were frequently involved in entrepreneurial pursuits. Indeed, the commercial revolution of the later Middle Ages facilitated the development of entrepreneurial networks and the creation of new ventures, and necessitated the formation of a normative framework made operative in an environment of economic and political order. This was a potential context for a process of economic growth that incorporated entrepreneurship and favoured the rise of entrepreneurial vision and spirit. To put it differently, we would have substantial reasons to agree with Douglass C. North's argument that:

"The Christian religious framework of the Middle Ages provided a hospitable filter for learning that led to adaptations congenial to economic growth; or alternatively that the specific geographic/economic/institutional context of the medieval western world provided the unique experiences responsible for the resultant adaptations. In fact it was a combination of the two sets of experiences that produced the adaptations in the belief structure that were conducive to economic growth and political/civil freedoms. The belief structure embodied in Christian dogma was, despite some notorious contrary illustrations, amenable to

evolving in directions that made it hospitable to economic growth" (North, 2005:136-137).

The medieval economic order was progressively evolved in directions that could take advantage of new economic opportunities that made possible the developments of new entrepreneurial skills. However, as discussed earlier, entrepreneurial decision making (and the concomitant values of innovation and creativity) was ultimately conditioned by this cultural heritage that shaped the prevailing perceptions of entrepreneurial affairs. Broadly speaking, the leaders and visionaries of the Reformation were acting as 'institutional entrepreneurs' operating *outside* the dominant processes to select new institutions. However, as Greif (2006: 201-202) posits:

"Their choice of actions was nevertheless influenced by the constraints imposed and the opportunities afforded by past institutional elements. These institutional entrepreneurs relied on institutional elements inherited from the past to mobilize resources, predict responses to their actions, frame the new situation, and influence what individuals considered to be their interest or the morally appropriate response".

In addition to their strategic action, entrepreneurs seek to construct new meanings that may ultimately result in new organizational forms reflecting different values and norms. Nevertheless, we underscored the role of specific historical conditions in shaping or affecting the type of organizations people construct. In our setting, entrepreneurship was constrained by the belief structure that dominated this period: the latter did not entirely limit the relative capacity of various religious, economic and political organizations to properly evolve or interact with each other. In this respect, the economic transformations of the era, intertwined with a concern for the liberty of religious conscience culminated in the Reformation Theology, could offer the initial conditions of modifying the pre-existing organizational framework. Nevertheless, this was undoubtedly a very complicated process that required a re-structuring of the intentions of the economic agents, conducive to these value systems which provided the entrepreneur with an opportunity of pursuing secular goals.

By overcoming the traditional separation between sacred and purely mundane activities, the Reformation facilitated the emergence of value-systems that encompassed *every* dimension of life: in this way, labour became an integral part of a service to God occurring concretely in the world. Labour was religiously sanctioned as a dimension of human fulfillment, as a divine vocation no more mediated by the institutional Church. Christianity then was able "to sustain a deeply emotional and existentially satisfying faith" that seemed to appeal to reason, to belief-

systems favouring a rational comprehension of the world, so intrinsically related to the rise of modernity itself (Stark, 2005:235). To assume however, that typical modern entrepreneurial motives were effectively incarnated in such religious stances would signify that self-interest, risk and profit-seeking were not inimical to the Early Reformation Theology. Such an assumption seems to be hardly plausible, as discussed earlier. It would, indeed, not be until fairly late in English Puritanism, most notably during the Industrial Revolution, that this stance would be overturned to promote the enthusiastic practice of wealth creation, to reject charity as sanctioning laziness, and to give the individual pride of place against his neighbour. But that, as they say, is another story (Bendix, 1963; Coleman, 1989:108; Macpherson, 1962:263-264).

Equally importantly, we have also found a counterpoint to these developments, in the persistent backlash against the accommodation with mercantile behaviours, whether in the earliest monastic movement, the foundations of the Cistercians, or the later sects, like the Humiliati and Beguines. It is one of the great ironies of this story that the hard work and asceticism of these groups often resulted in the kind of financial success more typically associated with entrepreneurship. Just like the accommodation movement, this more radical voice also continued after the Reformation, and can be identified with modern Christian Socialism, and Liberation Theology. If the accommodators represent a continuation of the work of the Pauline School¹⁴, then the radicals are close indeed to the thought of the Jesus Movement and the Jerusalem Love Community. Often in a minority, and facing increasing legitimation of enterprise values by the accommodators, nevertheless they represent an influential voice coming down the centuries of Christianity to the present day.

It is also tempting to reflect upon the modern dichotomy of the entrepreneur as hero or villain in the light of these two church trends. The language and values used to glorify the entrepreneurial hero tend to draw upon sacerdotal language (Anderson *et al*, 2000), which may suggest that there is some merit in this view. And the scorn heaped on entrepreneurs and enterprise cultures by modern opponents is indeed reminiscent of radical Christianity's condemnation of avarice, selfishness, and a concern for the mundane (Jenkins, 1988:12). However, to examine whether such an argument is indeed sustainable, a detailed examination of the development of enterprise values between the Reformation and today is required. Perhaps, the best we can do at this juncture is to indicate that such an endeavour would be promising enough to produce interesting results in a relatively underdeveloped research area, that of the cultural (and social) ante-

cedents affecting the respective processes of the formation of a contemporary business and entrepreneurial spirituality.

ENDNOTES

- ¹ Other studies comprise empirical and theoretical issues in enterprising culture in the context of an increasingly evolving global economy, where varying belief systems, values and worldviews enter into a dynamic process of interaction: there is certain evidence that such contemporary entrepreneurial or leadership roles in organizations are partly shaped by the underlying values and attitudes of their respective spiritual and religious traditions (cf. Kriger and Seng 2005). Of related interest is the search for the religious origins of the concept of 'free agency' in modern organizational settings and its implications for management, work motivation and work flexibility (Ali *et al.*, 2005).
- ² For further analysis and discussion, see Drakopoulou-Dodd (1995).
- ³ In the pastoral Epistles, for instance, virtuous self-sufficiency is opposed to any harmful excesses of human desire and, eventually, to the sinfulness of avarice: *autarkeia* is representative of a typical ideal in early Christian literature and denotes a state of being content with modest prosperity. Newhauser (2000:4) claims that "this *autarkeia* is anything but a revolutionary concept: it is neither an all-encompassing end in itself, nor the motivation for rigorous asceticism was to become".
- ⁴ But, as Clark (2004:21-27) has extensively argued, Christian churches were distinctive from other elective cults in the support that they offered their members, as no Roman cult groups aimed at extending their beneficence to the strangers and those in need. Provided that Roman authorities did not take any special responsibility for welfare apart from what was needed in emergencies that threatened social order, the churches filled the existing gap in the administrative structure as an effective social network of caring labour.
- ⁵ Barry Gordon (1989:54-55) has demonstrated that, the Pauline ethic of work was rooted in the obedience owed to the heavenly Patron: it represented a service within a household of believers invested with the dimension of administrative ability or even entrepreneurial flair and enriched with the responsibilities of organisation and innovation, as exemplified in honest stewardship.
- ⁶ For further analysis of these issues, see, among others, Aubert's detailed and comprehensive approach to Roman economic institutions. Aubert (1994:98-100) argues that "in Roman times, an enterprise was an economic unit oriented toward the production of goods or services, and was composed of one or several persons using capital in order to make a profit, or at least to provide for the needs of the entrepreneur...(such) a business (*negotiatio*) could be divided into several units of production/distribution (branches or outlets)". In ancient Rome, 'business managers' were

employees who held certain responsibilities, primarily in negotiating valid contracts: they were in charge of making short-term and long-term policy decisions concerning the profitability of an economic venture, frequently involved in economic transactions or engaging in risky choices as they administered limited resources, hired skilled labour or organised the marketing process of a product.

- ⁷ Interestingly, G.P. Brogiolo (1999) seeks to explain how the predominant ideas of the classical Roman city were transformed between the fourth and the ninth centuries, as a precondition for understanding the new roles assimilated by a typical Italian town as a centre of production, consumption and trade.
- ⁸ The general picture is somewhat complex. The monastic centers, for instance, far from being enclosed in their own domain, were in fact prone to the temptations and intrusions of the world. This is particularly true in the case of the early 9th century. *Supplex Libellus*, a written document which, among others, indicates the disruptive consequences of private economic interests in communal life: the text refers to private business and secular arrangements and to the division of property and possessions as entirely inimical to the monastic spirit (Nelson 2001:590-591).
- ⁹ Though the eleventh and twelfth century medieval papacy witnessed internal divisions and external conflicts with the Holy Roman Empire and experienced prolonged periods of financial crisis, the popes were successful in the administration of their principal ordinary revenues and in the fiscal organization of the Church. See, for instance, Robinson 1990:244-291. For the initial restrictions imposed by canon law on private property rights in Churches and monasteries, see Tellenbach 1993:286-303.
- ¹⁰ See, for instance, Newhauser (2000) who challenges the traditional conception of avarice as intrinsically associated with the emergence of capitalism, or earlier, with the rise of a money economy. The author convincingly explains that *avaritia*, the sin of greed for possessions, was a critical concept for understanding a wide range of theological and literary resources extended from the first century C.E. Most importantly, this concept gained a new significance among the list of vices evoked by authors engaged in polemical disputes or aiming to convert others from pagan materialism to Christian spirituality.
- ¹¹ Typical medieval penitential handbooks designed for the education of confessors or as aids in the confessional consider economic and business activities from the point of view of sin and penance. Langholm (2003:270-271) is right to observe that their arguments express a stationary view of society in that they consistently focus on the concrete manifestations of avarice in economic practices: the latter proves to be detrimental to personal and communal integrity, despite its alleged long-run social benefits.
- ¹² These attitudes and practices of the mendicant orders were not commensurate with the aspirations of the official clergy which was concerned to incorporate power claims of bishops in the long process of transformation of the early apostolic ideals into a system of church property. Ganz (1995:30) emphatically observes that the

ideal of apostolic sharing served to legitimise new economic practices, “even though the effectiveness of such practices depended on a conception of sharing based on the revenues from a system of landholding which was far removed from the ideal of the church at Jerusalem”.

- ¹³ These individualistic principles should, however, be delineated by a moral framework that allows the entrepreneur to address issues of ethical decision making or make ethical choices: what is needed seems to be a deep sensitivity to the particularities of human existence in its profound diversity and complexity. In this sense, entrepreneurship is intrinsically associated with creativity, imagination, sensitivity and novelty: these qualities shape what Buchholz and Rosenthal (2005) define as “the Spirit of Entrepreneurship” that is central for engaging in moral decisions and developing an ethical approach to concrete situations that the entrepreneurs face. In this respect, the capabilities and qualities required by this process approach to ethics are the same with those that are constitutive of the spirit of entrepreneurship.
- ¹⁴ Interestingly, Whittington *et al*, (2005) explore the spiritual dimensions of work in the context of a Biblical perspective on leadership and seek to identify a set of leadership qualities of the Apostle Paul based on his Thessalonian correspondence. The authors elaborate an integrative model of legacy leadership that focuses on the relationships among these qualities and the respective means by which these principles are incorporated into the followers’ lives and perpetuated over time.

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